

SENATE No. 704

The Commonwealth of Massachusetts

PRESENTED BY:

John J. Cronin

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to the use of virtual credit cards by dental insurance providers.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	
<i>John J. Cronin</i>	<i>Worcester and Middlesex</i>	
<i>Joanne M. Comerford</i>	<i>Hampshire, Franklin and Worcester</i>	<i>1/28/2025</i>
<i>Meghan K. Kilcoyne</i>	<i>12th Worcester</i>	<i>1/28/2025</i>
<i>Jason M. Lewis</i>	<i>Fifth Middlesex</i>	<i>3/5/2025</i>
<i>Patrick M. O'Connor</i>	<i>First Plymouth and Norfolk</i>	<i>3/17/2025</i>
<i>Adam J. Scanlon</i>	<i>14th Bristol</i>	<i>6/3/2025</i>
<i>Lindsay N. Sabadosa</i>	<i>1st Hampshire</i>	<i>6/5/2025</i>
<i>Rodney M. Elliott</i>	<i>16th Middlesex</i>	<i>6/5/2025</i>
<i>Francisco E. Paulino</i>	<i>16th Essex</i>	<i>6/17/2025</i>
<i>Tackey Chan</i>	<i>2nd Norfolk</i>	<i>6/30/2025</i>

SENATE No. 704

By Mr. Cronin, a petition (accompanied by bill, Senate, No. 704) of John J. Cronin, Joanne M. Comerford, Meghan K. Kilcoyne and Jason M. Lewis for legislation relative to the use of virtual credit cards by dental insurance providers. Financial Services.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to the use of virtual credit cards by dental insurance providers.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Chapter 140D of the General Laws as most recently appearing amended by inserting after
2 section 28 the following sections:-

3 Section 29: A contract between a dental insurer and a dental care provider to provide
4 dental care services to the insurer's enrollees may not restrict the method of payment from the
5 dental insurer to the dental care provider in which the only acceptable payment method is a credit
6 card payment, and if a dental insurer initiates said payment via credit card, it may only be with
7 the approved consent of the dental care provider.

8 If said dental care provider elects not to accept a method of payment, that decision will
9 remain in effect until the dental care provider elects to receive a different method of payment or
10 until a new contract is executed.

11 Furthermore, if the dental care provider accepts the use of electronic funds transfer
12 payments, including virtual credit card payments, the dental insurer shall do the following:

1. Notify the dental care provider if any fee is associated with a particular payment method.

2. Advise the dental care provider of the available methods of payment and provide clear instructions to the dental care provider as to how to select an alternative payment method.

3. Remit or associate with each payment the explanation of benefits.

A dental insurer that initiates or changes payment to a dental care provider using the dental care electronic funds transfers and a remittance advice transaction pursuant to 45 Code of Federal Regulations sections 162.1601 and 162.1602 may not charge a fee solely to transmit the payment to a dental care provider unless the dental care provider has consented to the fee. A dental care provider agent may charge reasonable fees when transmitting an electronic funds transfer or automatic clearing house related to transaction management, data management, portal services and other value-added services above and beyond the bank transmittal.

For the purposes of this section:

1. "Electronic funds transfer payment" means a payment by any method of electronic funds transfer other than a standard dental care electronic funds transfers and remittance advice transaction pursuant to 45 Code of Federal Regulations sections 162.1601 and 162.1602.

2. "Dental care provider" means a person who is licensed, registered or certified as a dental care professional under Chapter 112 of the Massachusetts General Laws or a laboratory or durable medical equipment provider that furnishes services to an enrollee and that separately bills the enrollee for the services.

33 3. "Dental care provider agent" means a person or entity that contracts with a dental care
34 provider establishing an agency relationship to process bills for services provided by the dental
35 care provider under the terms and conditions of a contract between the agent and dental care
36 provider, which may allow the agent to submit bills, request reconsideration, and receive
37 reimbursement.

38 4. "Dental insurer" means a disability insurer, group disability insurer, blanket disability
39 insurer, dental care services organization, hospital service corporation, medical service
40 corporation or hospital, medical, dental and optometric service corporation and includes the
41 dental insurer's designee.